

DESPITE AN OVERALL SQUEEZE IN FUNDING, VCS ARE STILL POURING MONEY INTO EARLY-STAGE START-UPS WITH THE CAVEAT OF SCALEABILITY AND PROFITABILITY

BY **ASHISH RUKHAIYAR**

WINTER IS COMING. This oft-quoted line is the name of the inaugural episode of the widely-watched series *Game of Thrones* that first aired in April 2011. It is also a dialogue used liberally throughout the series' long episodes that describes an impending bleak outlook. So profound is its use that it has attained almost cult status in popular culture. But currently, the statement holds a special significance in the world of business as it very aptly captures the upheaval observed among start-ups in India amidst their constant lay-offs and valuation woes.

Inviting this scrutiny is the listing of some of the high-profile start-ups on the bourses in the latter part of last year, following which their valuations fell drastically. It has also prompted many start-ups planning public market debuts to reconsider their plans, and postpone their listing indefinitely, for now.

While unicorns and soonicorns—firms soon to become unicorns—are having a tough time, there is an interesting, and somewhat contradictory, trend emerging in the early-stage start-up arena. Despite challenges, early-stage start-ups and angel investors are carrying on with a 'business as usual' attitude and ventures are raising funds when required.

If the number of funding rounds is anything to go by, last year was one of the best for early-stage start-ups and their investors. Data from Tracxn—a platform

that tracks start-ups—shows that a total of 2,441 rounds were concluded in 2021 if one takes into account angel-, seed- and series A and B rounds.

In the current year till June, over a thousand rounds of investments have been made, and seed rounds account for the largest chunk at 647, followed by series A at 202.

In terms of the quantum of money, early-stage start-ups raised a record \$8.4 billion last year, while over \$5.4 billion has already been raised till June this year, data from Tracxn shows. Meanwhile, the total amount of funding raised by all start-ups in India till July this year is \$18.6 billion. Last year, the total was \$41.6 billion.

Even as the total number of funding rounds till June this year is half of last year, the quantum of funds raised has already surpassed 60 per cent of the money raised in 2021. It shows that the average deal size of \$5.3 million this year is higher than last year's average of \$3.4 million.

Incidentally, angel investors and founders of early-stage ventures believe that while the going is still comparatively smooth in the early-stage arena, there is indeed an enhanced level of scrutiny on start-ups. Factors such as business models, scaleability, and the seriousness or track record of founders are being analysed much more comprehensively when compared to a couple of years ago.

A LEARNING CURVE

Dhianu Das, Co-founder of angel network Agility Ventures, says that not everything is dark and dreary in the start-up ecosystem. According to him, although many in the start-up ecosystem are talking about a funding winter, Agility Ventures has witnessed continued scaling of most of the start-ups in its portfolio. "Our focus on early-stage investments, and rigorous filtering has borne well for our portfolio as start-ups solving real-world problems and providing greater value

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START-UP NATION

- 1 **India is among the top recipients of global VC investments**
- 2 **It received VC investments worth \$36 billion in 2021**
- 3 **The amount is likely to touch \$31 billion in 2022**
- 4 **2022 YTD VC investments stood at \$14 billion**
- 5 **75,000 registered start-ups have created more than 750,000 jobs in India in the past six years**

SOURCE GOVERNMENT DATA, PREQIN, SVB ANALYSIS